Illustrative M&A; Case | Tesco / J Sainsbury

Investment Banking Analyst Portfolio • Hypothetical transaction mechanics • FY2026 headline data

Executive summary

• This case demonstrates offer price, sources and uses, consideration mix, financing costs, synergies and pro forma EPS accretion/dilution. It does not imply either company is pursuing a transaction.

Strategic context and feasibility caveat

• Tesco and J Sainsbury are major UK grocery retailers. A combination would raise substantial competition, consumer-choice and store-overlap issues and face exceptional regulatory scrutiny; a real deal could be prohibited or require significant remedies.

• This is a technical modelling exercise, not a feasible-deal recommendation.

Reported data used

• Tesco FY2025/26 preliminary results reported comparable sales excluding VAT and fuel of £66,588m, adjusted operating profit of £3,152m and net debt of £10,563m.

• Sainsbury FY2025/26 preliminary results reported group revenue excluding VAT and including fuel of £33,647m, retail underlying operating profit of £1,025m, net debt including lease liabilities of £5,743m and underlying basic EPS of 22.3p.

• Company metrics have different definitions and are not directly comparable without reconciliation.

Transaction and EPS mechanics

• Offer price is based on an illustrative unaffected share price, premium and target share count. Sources and uses split cash consideration between new debt and acquirer cash, with stock consideration issued in new acquirer shares.

• Pro forma earnings combine illustrative standalone net income, after-tax realised synergies and after-tax interest on new debt. New shares are stock consideration divided by the assumed acquirer share price. Integration costs are shown separately.

• The model omits full purchase accounting, acquired-intangible amortisation, detailed pension/lease adjustments, target debt refinancing, tax structuring and granular synergy workstreams.

Diligence and sensitivity

• Premium, synergy delivery, financing cost, tax and stock issuance can materially alter EPS accretion/dilution.

• A real transaction would require detailed competition-law review, store-overlap analysis, customer impact assessment, due diligence, financing commitments and implementation-cost estimates.

Primary sources

• Tesco FY2025/26 Preliminary Results: https://www.tescoplc.com/preliminary-results-202526

• Sainsbury FY2025/26 Preliminary Results: https://corporate.sainsburys.co.uk/news/press-releases/preliminary-results-for-the-52-weeks-ended-28-february-2026/

• Sainsbury Annual Report 2026: https://corporate.sainsburys.co.uk/investors/annual-report-2026/

Disclaimer

• Educational portfolio case only. Hypothetical transaction; not investment advice, deal speculation or a representation of either company’s intentions.